THE HOMEOWNERSHIP COMMUNITY PRESENTS

The Complete Guide to

REVERSE MORTGAGES

Everything Texas, Louisiana, Georgia & Illinois Homeowners Need to Know to Turn Home Equity Into Financial Freedom

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INTRODUCTION

What Is a Reverse Mortgage?

If you're 62 or older and have built up equity in your home, a reverse mortgage could be one of the most powerful financial tools available to you — yet it remains one of the most misunderstood. This guide cuts through the confusion, busts the myths, and gives you the clear, unbiased information you need to make the best decision for your family.

A **reverse mortgage** is a federally insured home loan that allows homeowners 62+ to convert a portion of their home equity into tax-free cash — without selling their home or making monthly mortgage payments. The loan is repaid only when the last borrower permanently leaves the home.

The most common type — the **Home Equity Conversion Mortgage (HECM)** — is insured by the FHA and backed by HUD. This government backing provides important protections for both borrowers and their heirs.

$11.2T	62+	700K+	$150K+
Senior home equity in the U.S.	Min. age to qualify for HECM	Active reverse mortgages today	Avg. HECM loan amount nationally

Whether your goal is to eliminate your monthly mortgage payment, supplement retirement income, create an emergency reserve, or simply improve your quality of life — this guide will show you exactly how a reverse mortgage can help.

"Your home is likely your largest asset. A reverse mortgage lets you put it to work for you — on your terms." — Brandon Bee Dixon

CHAPTER 1

How Reverse Mortgages Work

Unlike a traditional mortgage where you make monthly payments to a lender, a reverse mortgage works in the opposite direction — the lender makes payments to you, or provides access to a line of credit, based on the equity you've built in your home.

Core Mechanics

- **You remain the owner.** You keep title to your home and are responsible for property taxes, insurance, and maintenance.
- **No monthly mortgage payments required.** The loan balance grows over time as interest accrues, but you never owe more than your home is worth.
- **The loan comes due** when the last borrower sells, moves out permanently, or passes away.
- **Heirs have options.** Sell the home, refinance into a traditional mortgage, or walk away with no personal liability.
- **FHA insurance protects you.** Even if the loan balance exceeds your home's value, you or your heirs will never owe the difference.

Disbursement Options

Option	Best For	Key Benefit
Lump Sum	Pay off existing mortgage	Immediate full access
Monthly Payments	Supplement retirement income	Predictable income
Line of Credit	Emergency fund / flexibility	Grows over time
Combination	Custom retirement planning	Maximum flexibility

CHAPTER 2

Eligibility Requirements

Qualifying is simpler than most homeowners expect. There are no income minimums and no traditional credit score requirements — your home equity does most of the work.

Age

At least one borrower must be 62+. Non-borrowing spouses under 62 may still be protected under HUD's deferral provisions.

Primary Residence

The property must be your primary residence — you must live there the majority of the year.

Home Equity

Most lenders require at least 50% equity. More equity = more available funds.

Property Type

Single-family homes, FHA-approved condos, townhomes, and qualifying manufactured homes all qualify.

Financial Assessment

Lenders review income, assets, credit history, and obligations to ensure ongoing tax and insurance obligations can be met.

HUD Counseling

A required one-time session with an independent HUD-approved counselor. Educational, protective, and mandatory by law.

Pro Tip: Even if you currently have a mortgage balance, you may still qualify. Many borrowers use reverse mortgage proceeds to completely eliminate their existing mortgage — freeing up that monthly payment permanently.

CHAPTER 3

Types of Reverse Mortgages

HECM — Home Equity Conversion Mortgage

The most popular type, accounting for over 90% of all reverse mortgages. FHA-insured with a 2024 lending limit of $1,149,825. Offers the strongest borrower protections including the non-recourse guarantee. Requires HUD-approved counseling.

HECM for Purchase (H4P)

Allows seniors to use a reverse mortgage to buy a new primary residence without monthly payments. Ideal for downsizing, relocating near family, or moving to a more accessible home. A buyer might purchase a $350,000 home with ~$175,000 down and never make another mortgage payment.

Proprietary (Jumbo) Reverse Mortgages

Privately insured for high-value homes above HECM limits — sometimes up to $6M+. Available as young as 55 in some states. Ideal for premium Houston neighborhoods like River Oaks, Memorial, Tanglewood, and The Woodlands.

Single-Purpose Reverse Mortgages

Offered by select state/local agencies for a specific purpose (typically home repairs or property taxes). Lowest cost but very limited availability and use.

CHAPTER 4

The Loan Process — Step by Step

1

Free Consultation

Meet with Brandon Bee Dixon to discuss your goals, run a cost/benefit analysis, and determine how much you may qualify for. No cost, no obligation.

2

HUD Counseling

Complete a 1–2 hour session with an independent HUD-certified counselor. Required by law and designed to protect you. Cost: ~$125–$200.

3

Application

Submit a formal loan application with proof of homeowners insurance, property tax statements, and government-issued ID.

4

Appraisal

An FHA-approved appraiser visits your home. Takes 1–2 weeks, typically costs $450–$600.

5

Underwriting

Lender reviews your complete file. Typically takes 2–4 weeks.

6

Closing

Sign loan documents. After a 3-day right of rescission, funds are released.

7

Receive Funds

Choose lump sum, monthly payments, line of credit, or combination. Funds are typically tax-free.

Timeline: Application to funding typically takes 30–60 days. Brandon Bee Dixon's experience helps streamline the process for eligible clients.

CHAPTER 5

Financial Benefits & Strategies

A reverse mortgage is more than just a loan — it's a sophisticated retirement planning tool that, when used strategically, can dramatically improve financial security.

Eliminate Your Mortgage Payment

Use proceeds to pay off your existing mortgage — instantly freeing up hundreds or thousands per month. For a retiree with a $200,000 balance, this could mean $1,500+ more monthly.

Delay Social Security Benefits

Every year you delay Social Security past 62 (up to 70) increases your benefit 6–8%. A reverse mortgage can bridge income while you wait — resulting in significantly higher lifetime benefits.

Create a Growing Line of Credit

The unused HECM line of credit grows at the loan's interest rate — guaranteed by FHA. Your available funds grow over time, creating an ever-larger financial safety net.

Manage Sequence of Returns Risk

Draw from your reverse mortgage during market downturns instead of selling investments at a loss. Increasingly recommended by financial planners for retirement income optimization.

Fund Long-Term Care

Use tax-free proceeds to pay for in-home care, assisted living, or long-term care insurance premiums — preserving your retirement portfolio.

Home Renovations & Aging in Place

Fund accessibility improvements — ramps, walk-in showers, grab bars — allowing you to remain safely in your home for decades.

CHAPTER 6

Reverse Mortgage Myths vs. Facts

Misinformation is widespread. Here are the most common myths — and the facts that set the record straight.

✗ MYTH	✓ FACT
The bank takes ownership of my home.	FALSE. You remain the sole owner. The lender holds a lien — just like a traditional mortgage. You keep full title and all rights.
✗ MYTH	✓ FACT
My heirs will be left with debt.	FALSE. HECM is non-recourse. Heirs never owe more than the home's value at sale. FHA insurance covers any shortfall.
✗ MYTH	✓ FACT
I could be forced out of my home.	FALSE. You have the right to remain as long as it's your primary residence and taxes/insurance are current. No lender can evict you.
✗ MYTH	✓ FACT
Reverse mortgages are only for broke seniors.	FALSE. Many financially sophisticated retirees use HECMs as part of a comprehensive retirement strategy. Research shows they can improve long-term outcomes.
✗ MYTH	✓ FACT
I'll owe more than my home is worth.	FALSE. FHA insurance guarantees you will never owe more than your home's appraised value at repayment.
✗ MYTH	✓ FACT
The money is taxable income.	FALSE. Proceeds are loan advances, not income — generally not subject to federal or state income tax and don't affect Social Security or Medicare.
✗ MYTH	✓ FACT

Reverse mortgages have excessive fees.	PARTIALLY TRUE. Like all mortgages, there are closing costs. Most can be financed. Financial benefits typically far outweigh costs over time.

✗ MYTH	✓ FACT
My spouse will lose the home if I die.	FALSE. Non-borrowing spouses who meet HUD eligibility requirements are protected by deferral provisions — they can remain in the home.

CHAPTER 7

Houston & Texas-Specific Insights

Houston is one of the nation's most dynamic real estate markets — creating unique opportunities for Texas seniors considering a reverse mortgage.

Texas Homestead Law Protections

Texas has some of the nation's strongest homestead protections. State constitutional requirements on home equity lending provide an additional layer of consumer protection beyond federal rules.

No State Income Tax

Texas has no state income tax. Reverse mortgage proceeds — already tax-free federally — are even more advantageous for Houston seniors compared to retirees in California, New York, or Illinois.

Houston's Strong Property Values

Houston's diverse economy (energy, Texas Medical Center, aerospace, Port of Houston) has driven consistent long-term appreciation. Neighborhoods like The Woodlands, Sugar Land, Katy, and Pearland have generated substantial equity growth.

Jumbo Opportunities in Premium Neighborhoods

River Oaks, Memorial, Tanglewood, and West University homeowners may benefit from proprietary reverse mortgages — with loan amounts of $2M or more for high-value properties.

Harris County Property Tax Relief

Texas offers a property tax freeze for homeowners 65+. Combining this exemption with a reverse mortgage line of credit for remaining tax obligations can dramatically improve cash flow.

Licensed in All Four States

Brandon Bee Dixon is licensed to originate reverse mortgages in Texas, Louisiana, Georgia, and Illinois — bringing Houston-level expertise to seniors across all four states.

CHAPTER 8

Protecting Your Heirs & Estate

One of the most common concerns we hear: "What will happen to my children's inheritance?" The answer is often far more positive than you might expect.

Your Heirs Have Full Options

When the loan becomes due, heirs typically have 6–12 months to: (1) sell the home and keep remaining equity after repayment; (2) refinance into a traditional mortgage to keep the home; or (3) walk away — with no personal liability whatsoever.

The Non-Recourse Guarantee

Your heirs will never owe more than the lesser of the loan balance or 95% of the home's appraised value. Period. No exceptions. FHA insurance covers any shortfall.

Leaving a Larger Legacy

A well-executed reverse mortgage strategy can actually result in a larger legacy. By using home equity for living expenses, investment accounts grow — and those accounts pass to heirs with a stepped-up cost basis.

Non-Borrowing Spouse Protections

HUD's Eligible Non-Borrowing Spouse provisions allow a younger spouse (under 62) to remain in the home after the borrowing spouse passes — without the loan becoming immediately due.

CHAPTER 9

Real-Life Case Studies

Composite examples for illustrative purposes. Names fictional. Results vary by individual circumstances.

The Johnsons – Katy, Texas

Profile:	Robert (71) & Margaret (68) | Home: $385,000 | Existing Mortgage: $127,000
Goal:	Eliminate $1,150/month mortgage payment and create an emergency fund.
Solution:	HECM lump sum of $195,000 — paid off mortgage, placed $68,000 into a growing line of credit.
Outcome:	Eliminated monthly payment ($13,800/year savings). LOC has grown to $74,000+ in 24 months. Robert now works part-time by choice.

Dorothy M. – Houston (Galleria Area)

Profile:	Age 74, Widowed | Home: $620,000 | No Mortgage | Fixed Income Only
Goal:	Supplement Social Security and fund grandchildren's education.
Solution:	HECM line of credit of $280,000, drawing $2,000/month in tax-free income.
Outcome:	Monthly income increased 65%. Contributed $50,000 to 529 accounts for three grandchildren. Traveled internationally twice. Still in her home of 28 years.

The Washingtons – Baton Rouge, Louisiana

Profile:	James (66) & Alice (64) | Home: $295,000 | No Mortgage
Goal:	Purchase a single-story home closer to family without monthly payments.
Solution:	HECM for Purchase — contributed $140,000 from home sale; purchased $310,000 accessible home via H4P.
Outcome:	Downsized successfully with zero monthly payments. Kept $110,000 liquid. Now 20 minutes from their daughter.

Thomas K. – Naperville, Illinois

Profile:	Age 78, Retired | Home: $550,000 | Pension + Social Security
Goal:	Fund in-home care for wife without depleting retirement savings.
Solution:	HECM line of credit of $230,000 to fund professional in-home care.

Outcome:	Wife receives premium in-home care — no nursing facility required. $310,000 investment portfolio untouched through volatile market; now fully recovered.

CHAPTER 10

25+ Frequently Asked Questions

Q1. What is the minimum age for a reverse mortgage?

62 for a HECM. Some proprietary products are available starting at 55 in certain states.

Q2. How much money can I get?

Depends on age, home value, interest rates, and existing liens. The 2024 HECM lending limit is $1,149,825. Older borrowers with more equity access more funds.

Q3. Are the funds taxable?

No. Proceeds are loan advances, not income — generally not subject to federal or state income tax.

Q4. Will it affect my Social Security or Medicare?

No. Proceeds do not affect either benefit. Medicaid may be affected if funds aren't spent within the same calendar month received.

Q5. What if I want to move?

You can sell at any time. The reverse mortgage is paid off from sale proceeds, like any other mortgage.

Q6. What happens when I pass away?

Heirs are notified and given 6–12 months to sell, refinance, or walk away — with no personal liability.

Q7. Can I use it to buy a new home?

Yes — the HECM for Purchase (H4P) program allows seniors to buy a new primary residence without monthly mortgage payments.

Q8. Fixed or variable interest rate?

Both are available. Lump sum disbursements use fixed rates. Lines of credit and monthly payments typically use adjustable rates.

Q9. What are the costs?

Origination fee (capped at $6,000), FHA mortgage insurance (2% upfront, 0.5% annual), appraisal, title, and closing costs. Most can be financed into the loan.

Q10. Do I need good credit?

No minimum credit score. Lenders conduct a financial assessment to confirm ability to maintain taxes and insurance.

Q11. Can I get one on a condo?

Yes, if the condo project is FHA-approved. Some proprietary products also accept non-FHA-approved condos.

Q12. What if my home needs repairs?

A repair set-aside may be established from loan proceeds. Minor repairs are typically completed within 60 days of closing.

Q13. Can I change my disbursement option later?

Yes, for a modest $20 fee, with some restrictions.

Q14. What if interest rates go up?

For adjustable-rate HECMs, rising rates don't reduce your existing line of credit — available funds are locked in.

Q15. Can both spouses be on the loan?

Yes, and generally recommended. A spouse under 62 can be a protected non-borrowing spouse.

Q16. What is the HUD counseling session like?

A 1–2 hour phone or in-person session with an independent HUD-certified counselor covering the program, costs, and alternatives.

Q17. How long does the process take?

Typically 30–60 days from application to funding.

Q18. What if my home value drops?

The non-recourse guarantee means you or your heirs will never owe more than the home's appraised value at repayment. Market risk rests with FHA, not you.

Q19. Can I pay down the balance voluntarily?

Yes, with no prepayment penalties. Many borrowers make interest payments to slow balance growth while maintaining flexibility.

Q20. Is my home protected from Medicaid seizure?

As long as you or a protected non-borrowing spouse occupies the home, Medicaid cannot seize it. Consult an elder law attorney for complex situations.

Q21. What if I fall behind on taxes or insurance?

This is a serious obligation that can trigger default. A Life Expectancy Set-Aside (LESA) can automatically pay these from your loan proceeds.

Q22. Can manufactured homes qualify?

Yes, if built after June 15, 1976, meets HUD standards, sits on a permanent foundation, and the borrower owns the land.

Q23. How does it affect my estate plan?

A reverse mortgage creates a lien that must be repaid before heirs can inherit. Coordinate with an estate planning attorney for complex situations.

Q24. What states does Brandon Bee Dixon serve?

Texas, Louisiana, Georgia, and Illinois. Contact Brandon to discuss your specific state's options.

Q25. How do I get started?

Call (832) 775-8357, email Brandon@HOCmortgage.com, or visit www.ApplywithBee.com to schedule a free, no-obligation consultation.

Schedule Your FREE Reverse Mortgage Consultation

Brandon Bee Dixon

Reverse Mortgage Specialist | NMLS #1541210

■ **(832) 775-8357**

✉ Brandon@HOCmortgage.com

■ www.ApplywithBee.com

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You've spent decades building equity in your home. Let's build a plan to put it to work for YOU — completely free, no pressure, no obligation.

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— Brandon Bee Dixon, NMLS #1541210